

Another famous authority on stock prices, Baron Rothschild, said that the way to succeed in the stock market was to "buy stocks when they are cheap and sell them when they are dear." He too implied a standard of value, though he did not define it. One cannot buy something cheap or sell something dear unless he knows what cheap is and what dear is. Those are relative terms, and they must be related to some kind of a standard.

Value is something that exists in the mind. It is, therefore, as difficult to define as life itself. In all economic history there has never been a definition of pure economic value that has won universal acceptance. All the great economists have attempted to define value—Aristotle, Adam Smith, Ricardo, Bohm-Bawerk, Jevons, Clark, Pareto—but there is no definition of value in the economic sense that has been accorded universal acceptance.

One cannot say that a stock's value is the equivalent of its price. If that were so, it would be a waste of time to discuss value at all. Value would be price and price value, and that is all one would need to know.

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The classical definition of the value of a common stock is the one that holds the value of a common stock to be equal to the sum of all the dividends it will pay in the future, discounted to the prevailing interest rate. It is difficult to see how any one could take exception to this theory of value. The only trouble with it is that it is unusable. It is unusable because nobody knows what the sum of all the future dividends will be. If one could determine in advance what the sum of dividends would be over a 20-year span, or whatever life expectancy the company is determined to have, common